

race is not always to the swift, nor the battle to the strong, but as Damon Runyon tells us, that's the way to bet.

In our research we examined data over the period 1964 to 2011 to test the performance of several popular price-to-value ratios (Tables 4.3, 4.4):

- two variations of the enterprise multiple, one employing EBIT and the other employing EBITDA;
- price-to-earnings;
- price-to-book value;
- enterprise value-to-free cash flow, where “free cash flow” was defined as net income + depreciation and amortization – working capital change – capital expenditures;
- enterprise value-to-gross profit, where “gross profit” was calculated as revenues – cost of goods sold; and
- price-to-forward earnings estimates, where forward earnings estimates were defined as consensus Institutional Brokers' Estimate System (IBES) earnings forecast of EPS for the fiscal year (available only from 1982 through 2010).

As before, we conducted the research to the academic gold standard, examining only companies with market capitalizations greater than the fortieth percentile NYSE breakpoint—for context, the smallest company at December 31, 2011, had a market capitalization of \$1.4 billion—and weighted the stocks in the portfolios by market capitalization. We formed decile portfolios—each comprising 10 percent of the universe—for both the lowest- and highest-ranked stocks according to each price-to-value ratio (the low price-to-value ratio identifies value stocks and the high price-to-value ratio identifies glamour stocks). Other than the price-to-forward earnings estimates ratio, all other ratios use trailing 12-month data. The portfolios were rebalanced annually on June 30 of year t using lagged fundamental data from December 31 of year $t - 1$.

We found that both variations of the enterprise multiple had the most success identifying undervalued stocks, with the value portfolios of the EBIT form generating a compound annual growth rate of 14.6 percent and the EBITDA form earning 13.7 percent over the full period (for context, the S&P500 Total Return Index earned 9.5 percent). Wall Street's favorite metric—the price-to-forward earnings estimate ratio—was by far the worst performing of the price-to-value ratios, earning a compound annual growth rate of just 8.6 percent and underperforming even the market.

The value premium is the difference in returns to a portfolio of glamour stocks (the most overvalued decile) when compared to a portfolio of value stocks (the most undervalued decile) ranked by price-to-value ratio.